Type MS · Monopoly: features, barriers to entry, pros and cons

Answer 1 of 20 · Question 2 part e · 2 marks

2023 JAN · Paper 01 (regional R) · extract 1 of 6 · find part e in this mark scheme extract

2(a)	**AO2 1 mark** The only correct answer is: **B** Luxury A is not correct because the percentage changes are not the same C is not correct because the percentage change in quantity is positive D is not correct because the percentage change in quantity is greater than the percentage change in income	**(1)**

Question number	Which one of the following is the formula for social benefits? **Answer**	**Mark**
2(b)	**AO1 1 mark** The only correct answer is: **C** Private benefits + external benefits A is not correct because it does not include any third-party effects B is not correct because it includes costs D is not correct because this is not the formula used to calculate social benefits	**(1)**

Question number	What is meant by the term trade union? **Answer**	**Mark**
2(c)	**AO1 2 marks** Award 1 mark for reference to an organisation for employees and 1 mark for reference to protecting the interests of members An organisation for employees **(1)** that aims to protect the interests of its members **(1)** Accept any other appropriate response	**(2)**

Type MS · Monopoly: features, barriers to entry, pros and cons

Answer 1 of 20 · Question 2 part e · 2 marks

2023 JAN · Paper 01 (regional R) · extract 2 of 6 · find part e in this mark scheme extract

Question number	Calculate the average cost per unit (AC) for the firm when it makes 3,000 units. You are advised to show your working. **Answer**	Mark
2(d)	**AO2 2 marks** Award 1 mark for showing correct calculation ($6 200 + $3 550) / 3,000 **(1)** Award 1 mark for correct average cost per unit (AC) = $3.25 **(1)** Award 2 marks if average costs per unit is correctly calculated as $3.25, even if no calculations are shown Award 1 mark for 3.25, even if no calculations are shown Do not award marks for a formula	**(2)**

Question number	Describe one way that high start-up costs can be a barrier to entry. **Answer**	Mark
2(e)	**AO1 2 marks** Award 1 mark for reference to the way and 1 mark for development of the way • If a large amount of money is needed to set up a business **(1)** many potential competitors will not be able to raise/borrow such a large amount **(1)** Accept any other appropriate response	**(2)**

Type MS · Monopoly: features, barriers to entry, pros and cons

Answer 1 of 20 · Question 2 part e · 2 marks

2023 JAN · Paper 01 (regional R) · extract 3 of 6 · find part e in this mark scheme extract

Question number	Explain one disadvantage of this type of market structure for UK consumers. **Answer**	**Mark**
2(f)	**AO2 3 marks** Award 1 mark for identifying a relevant disadvantage Award 1 mark for developing the response Award 1 mark for the response being in context • Firms in an oligopoly may collude with one another **(1)** Therefore, the supermarkets may fix prices for groceries **(1)** meaning consumers would have to pay higher prices **(1)** Accept any other appropriate response	**(3)**

Type MS · Monopoly: features, barriers to entry, pros and cons

Answer 1 of 20 · Question 2 part e · 2 marks

2023 JAN · Paper 01 (regional R) · extract 4 of 6 · find part e in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, assess the benefits for Foxconn Technology of using division of labour. **Indicative content**
2(g)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Division of labour involves breaking down the production process into smaller tasks • Each worker specialises in only one task, such as handling the phone screen, checking the phone works and packaging the phone ready to ship to the customer • By specialising, efficiency is improved because workers can conduct tasks quicker and with more accuracy • This leads to an increase in productivity and lower costs of production for Foxconn Technology • Workers do not need to waste time moving between tasks and so greater efficiencies are created, again lowering production costs **AO4** • However, tasks such as checking the iPhone works is likely to be repetitive and could be very boring for the worker, meaning they may become poorly motivated • Therefore, mistakes may be made leading to the need for part of the production process to be repeated, reducing productivity • This could therefore increase the cost of production and reduce the profit made by Foxconn Technology • Problems may occur if one part of the production process fails. For example, if a broken phone screen is found, the phone cannot progress to the stage where it is packed to ship to the customer • This may be more likely due to the number of tasks that production is divided into with 270,000 workers • Specialisation may cause problems if a worker is absent and no one is able to take their place due to a lack of the specialist skill

Type MS · Monopoly: features, barriers to entry, pros and cons

Answer 1 of 20 · Question 2 part e · 2 marks

2023 JAN · Paper 01 (regional R) · extract 5 of 6 · find part e in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Monopoly: features, barriers to entry, pros and cons

Answer 1 of 20 · Question 2 part e · 2 marks

2023 JAN · Paper 01 (regional R) · extract 6 of 6 · find part e in this mark scheme extract

Question number	Which one of the following is the definition of a merger? **Answer**	Mark

Type MS · Monopoly: features, barriers to entry, pros and cons

Answer 2 of 20 · Question 1 part h · 3 marks

2019 JUN · Paper 01 (regional R) · extract 1 of 6 · find part h in this mark scheme extract

1(a)	**AO1 1 mark** A Large firms dominate	**(1)**

Question number	Answer	Mark
1(b)	**AO2 1 mark** C $ 60 000	**(1)**

Question number	Answer	Mark
1(c)	**AO1 2 marks** Award 1 mark for reference to a good for which the rise in demand is proportionally more than that of income and 1 mark for reference to income elasticity of demand being greater than one • A good for which income elasticity of demand is greater than 1 **(1)** the proportionate change in demand is greater than the proportionate change in income **(1)** OR • Luxury goods are products that are not essential **(1)** but are highly desired and associated with wealthy people **(1)**	**(2)**

Type MS · Monopoly: features, barriers to entry, pros and cons

Answer 2 of 20 · Question 1 part h · 3 marks

2019 JUN · Paper 01 (regional R) · extract 2 of 6 · find part h in this mark scheme extract

Question number	Answer	Mark
1(d)	**AO1 1 mark** Award 1 mark for one correct factor • Factors of production • Availability of stocks • Spare capacity • Time	**(1)**

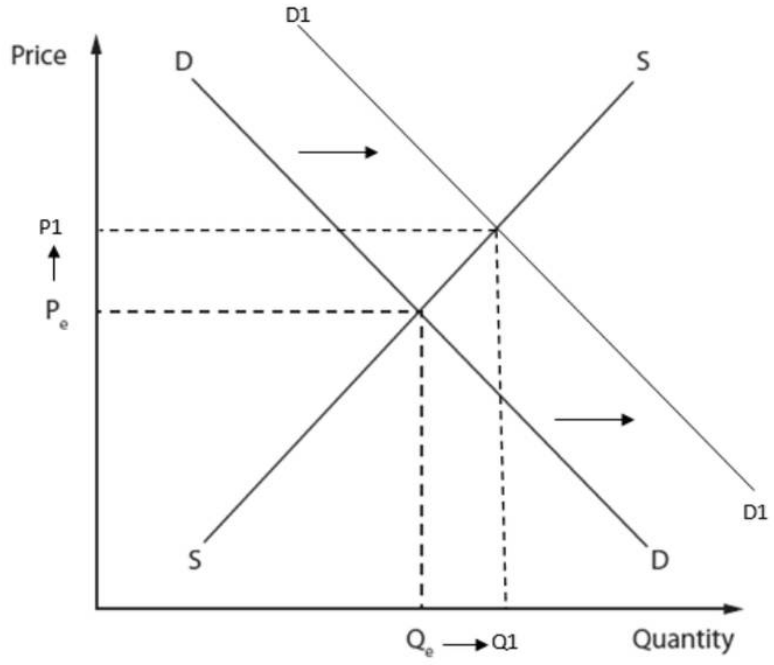
Question number	Answer	Mark
1(e)	**AO1 1 mark** Award 1 mark for reference to a good bought as an alternative to another good Goods which are used as an alternative to another good	**(1)**

Question number	Answer	Mark
1(f)	**AO2 2 marks** Award 1 mark for showing correct calculation 3.9 ÷ 5.2 **(1)** Award 1 mark for correct price elasticity of supply (PES) = 0.75 **(1)** Award 2 marks if PES is correctly calculated, even if no calculations are shown Do not award marks for the formula	**(2)**

Type MS · Monopoly: features, barriers to entry, pros and cons

Answer 2 of 20 · Question 1 part h · 3 marks

2019 JUN · Paper 01 (regional R) · extract 3 of 6 · find part h in this mark scheme extract

Question number	Answer	Mark
1(g)	**AO2 3 marks** Award 1 mark for rightward shift of demand, labelled Award 1 mark for higher equilibrium price, labelled Award 1 mark for higher equilibrium quantity, labelled  	**(3)**

Type MS · Monopoly: features, barriers to entry, pros and cons

Answer 2 of 20 · Question 1 part h · 3 marks

2019 JUN · Paper 01 (regional R) · extract 4 of 6 · find part h in this mark scheme extract

Question number	Answer	Mark
1(h)	**AO2 3 marks** Award 1 mark for identifying a relevant disadvantage Award 1 mark for developing the disadvantage Award 1 mark for the response being in the context of Robert's wood carving business • One disadvantage is that the price may be higher **(1)** this is due to a lack of choice **(1)** because there are no other local wood carvers that customers can use **(1)** • One disadvantage is that it may take a long time to receive the order **(1)** because Robert is a small business and he is working alone **(1)**, and it takes time for him to make each individual door sign **(1)** Accept any other appropriate response	**(3)**

Question number	Indicative content
1(i)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Robert may have decided it could be too time consuming and difficult to obtain additional finance in order to expand • Robert is operating in a niche market, meaning he can specialise in the requirements of his customers rather than mass production • As the door signs and gifts are made to order, and to the requirements of the customer, Robert prefers to stay small and focus on their individual needs • Robert is an entrepreneur and may have different aims to the more typical profit maximisation of some firms • He may feel that working from home, providing a high quality specialised customer service is more important • The size of the market for speciality carvings may not warrant expansion

Type MS · Monopoly: features, barriers to entry, pros and cons

Answer 2 of 20 · Question 1 part h · 3 marks

2019 JUN · Paper 01 (regional R) · extract 5 of 6 · find part h in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Monopoly: features, barriers to entry, pros and cons

Answer 2 of 20 · Question 1 part h · 3 marks

2019 JUN · Paper 01 (regional R) · extract 6 of 6 · find part h in this mark scheme extract

Question number	Answer	Mark

Type MS · Monopoly: features, barriers to entry, pros and cons

Answer 3 of 20 · Question 4 part b · 6 marks

2019 JUN · Paper 01 (regional R) · extract 1 of 5 · find part b in this mark scheme extract

4(a)	**AO2 2 marks** Award 1 mark for showing quantity demanded is 50 and quantity supplied is 20 and 1 mark for correct calculation of excess demand 50 – 20 **(1)** = 30 **(1)** Award 2 marks if excess demand is correctly calculated to be 30, even if no lines are shown on diagram or calculation shown	**(2)**

Type MS · Monopoly: features, barriers to entry, pros and cons

Answer 3 of 20 · Question 4 part b · 6 marks

2019 JUN · Paper 01 (regional R) · extract 2 of 5 · find part b in this mark scheme extract

Question number	Indicative content
4(b)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • In the USA, NBC Universal is the only network allowed to televise the Olympic Games until 2032. This makes it a monopoly • As a result NBC Universal has a unique product • This means it is a price-maker and so can set high prices for the advertising on its platforms • By agreeing the rights with the IOC, a legal agreement has been made, creating a barrier to entry for any potential competitors

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Monopoly: features, barriers to entry, pros and cons

Answer 3 of 20 · Question 4 part b · 6 marks

2019 JUN · Paper 01 (regional R) · extract 3 of 5 · find part b in this mark scheme extract

Question number	Indicative content
4(c)	**AO2 (4 marks)/AO3 (4 marks)/AO4 (4 marks)** **AO2 and AO3** • A monopoly occurs when one seller dominates the market • Google had a 94.33% market share in South America • Google's dominance could mean they are able to spend their profits on research and developing the search engine • Therefore the firms which advertise on Google can benefit from improvements to it, through innovation • Due to its size, Google may be able to benefit from economies of scale • These lower average costs could be passed on to the firms which advertise through cheaper prices • As the industry is fast moving, Google will need to provide a good service in order to remain so dominant. This may encourage them to maintain quality in the service offered • As a result of Google's dominance, firms advertising can be more confident that their adverts will be seen by more people if they advertise on Google • This could mean they are more likely to recoup their advertising costs through higher customer levels **AO4** • However, due to its dominance, Google could choose to charge high prices to the advertisers because it has a lack of competition • There is a lack of choice for firms advertising on search engines • Although Bing and a small percentage of others provide some choice, it only amounted to 5.67% during the period • Google may feel complacent about their strong position and not develop the service to the satisfaction of the advertisers • Without more competition, Google may not be concerned with rising costs, as they could pass them on • It may depend on whether the competitors such as Bing, and those in other countries outside of South America, can develop a stronger following • It may depend on whether search engines remain so prominent in internet advertising

Type MS · Monopoly: features, barriers to entry, pros and cons

Answer 3 of 20 · Question 4 part b · 6 marks

2019 JUN · Paper 01 (regional R) · extract 4 of 5 · find part b in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–4	• Demonstrates isolated elements of relevant knowledge and understanding; may lack development of relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Chain of reasoning may be attempted. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness. A judgement or conclusion is unlikely to be attempted (AO4).
Level 2	5–8	• Demonstrates partial selectivity and some accurate knowledge and understanding by developing some relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Chain of reasoning will be present but may be limited. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness. A judgement or conclusion is attempted, but may not be fully supported (AO4).
Level 3	9–12	• Demonstrates specific and accurate knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Chain of reasoning will be coherent and logical. Interpretation of economic information will be excellent with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness. A supported judgement or conclusion is present (AO4).

Type MS · Monopoly: features, barriers to entry, pros and cons

Answer 3 of 20 · Question 4 part b · 6 marks

2019 JUN · Paper 01 (regional R) · extract 5 of 5 · find part b in this mark scheme extract

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Type MS · Monopoly: features, barriers to entry, pros and cons

Answer 4 of 20 · Question 4 part c · 12 marks

2019 JUN · Paper 01 (regional R) · extract 1 of 5 · find part c in this mark scheme extract

4(a)	**AO2 2 marks** Award 1 mark for showing quantity demanded is 50 and quantity supplied is 20 and 1 mark for correct calculation of excess demand 50 – 20 **(1)** = 30 **(1)** Award 2 marks if excess demand is correctly calculated to be 30, even if no lines are shown on diagram or calculation shown	**(2)**

Type MS · Monopoly: features, barriers to entry, pros and cons

Answer 4 of 20 · Question 4 part c · 12 marks

2019 JUN · Paper 01 (regional R) · extract 2 of 5 · find part c in this mark scheme extract

Question number	Indicative content
4(b)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • In the USA, NBC Universal is the only network allowed to televise the Olympic Games until 2032. This makes it a monopoly • As a result NBC Universal has a unique product • This means it is a price-maker and so can set high prices for the advertising on its platforms • By agreeing the rights with the IOC, a legal agreement has been made, creating a barrier to entry for any potential competitors

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Monopoly: features, barriers to entry, pros and cons

Answer 4 of 20 · Question 4 part c · 12 marks

2019 JUN · Paper 01 (regional R) · extract 3 of 5 · find part c in this mark scheme extract

Question number	Indicative content
4(c)	**AO2 (4 marks)/AO3 (4 marks)/AO4 (4 marks)** **AO2 and AO3** • A monopoly occurs when one seller dominates the market • Google had a 94.33% market share in South America • Google's dominance could mean they are able to spend their profits on research and developing the search engine • Therefore the firms which advertise on Google can benefit from improvements to it, through innovation • Due to its size, Google may be able to benefit from economies of scale • These lower average costs could be passed on to the firms which advertise through cheaper prices • As the industry is fast moving, Google will need to provide a good service in order to remain so dominant. This may encourage them to maintain quality in the service offered • As a result of Google's dominance, firms advertising can be more confident that their adverts will be seen by more people if they advertise on Google • This could mean they are more likely to recoup their advertising costs through higher customer levels **AO4** • However, due to its dominance, Google could choose to charge high prices to the advertisers because it has a lack of competition • There is a lack of choice for firms advertising on search engines • Although Bing and a small percentage of others provide some choice, it only amounted to 5.67% during the period • Google may feel complacent about their strong position and not develop the service to the satisfaction of the advertisers • Without more competition, Google may not be concerned with rising costs, as they could pass them on • It may depend on whether the competitors such as Bing, and those in other countries outside of South America, can develop a stronger following • It may depend on whether search engines remain so prominent in internet advertising

Type MS · Monopoly: features, barriers to entry, pros and cons

Answer 4 of 20 · Question 4 part c · 12 marks

2019 JUN · Paper 01 (regional R) · extract 4 of 5 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–4	• Demonstrates isolated elements of relevant knowledge and understanding; may lack development of relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Chain of reasoning may be attempted. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness. A judgement or conclusion is unlikely to be attempted (AO4).
Level 2	5–8	• Demonstrates partial selectivity and some accurate knowledge and understanding by developing some relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Chain of reasoning will be present but may be limited. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness. A judgement or conclusion is attempted, but may not be fully supported (AO4).
Level 3	9–12	• Demonstrates specific and accurate knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Chain of reasoning will be coherent and logical. Interpretation of economic information will be excellent with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness. A supported judgement or conclusion is present (AO4).

Type MS · Monopoly: features, barriers to entry, pros and cons

Answer 4 of 20 · Question 4 part c · 12 marks

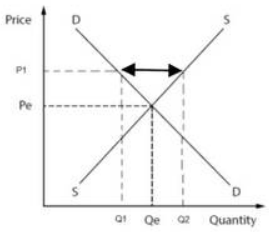
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Type MS · Monopoly: features, barriers to entry, pros and cons

Answer 5 of 20 · Question 2 part b · 1 mark

2020 JAN · Paper 01 (regional R) · extract 1 of 6 · find part b in this mark scheme extract

2(a)	**AO2 1 mark**  **C**	**(1)**

Question number	Answer	Mark
2(b)	**AO1 1 mark** **D** Use of expensive technology	**(1)**

Question number	Answer	Mark
2(c)	**AO2 2 marks** Award 1 mark for showing correct calculation 19 ÷ -10 **(1)** Award 1 mark for correct price elasticity of demand (PED) = -1.9 **(1)** Award 1 mark if students show calculation and put 1.9 without the minus sign Award 2 marks if PED is correctly calculated as -1.9, even if no calculations are shown Do not award marks for the formula	**(2)**

Type MS · Monopoly: features, barriers to entry, pros and cons

Answer 5 of 20 · Question 2 part b · 1 mark

2020 JAN · Paper 01 (regional R) · extract 2 of 6 · find part b in this mark scheme extract

Question number	Answer	Mark
2(d)	**AO1 1 mark** Award 1 mark for correct formula Private benefits + external benefits Accept any other appropriate response	**(1)**

Question number	Answer	Mark
2(e)	**AO1 1 mark** Award 1 mark for a correct definition The end user/a person who makes a purchase for their own use Accept any other appropriate response	**(1)**

Question number	Answer	Mark
2(f)	**AO1 2 marks** Award 1 mark for reference to the factor and 1 mark for development of the factor • The firm may be able to access more finance **(1)** therefore it can spend more on advertising **(1)** • The firm may wish to take over competitors **(1)** so it may gain more customers **(1)** Accept any other appropriate response	**(2)**

Type MS · Monopoly: features, barriers to entry, pros and cons

Answer 5 of 20 · Question 2 part b · 1 mark

2020 JAN · Paper 01 (regional R) · extract 3 of 6 · find part b in this mark scheme extract

Question number	Answer	Mark
2(g)	**AO2 3 marks** Award 1 mark for identifying a relevant reason Award 1 mark for developing the reason Award 1 mark for the response being in context • One reason is that consumers may have habits that are hard to give up **(1).** Products containing sugar can be habit forming **(1)** and so consumers may find it difficult to stop eating sugar even though they know it is bad for their health **(1)** Accept any other appropriate response	**(3)**

Type MS · Monopoly: features, barriers to entry, pros and cons

Answer 5 of 20 · Question 2 part b · 1 mark

2020 JAN · Paper 01 (regional R) · extract 4 of 6 · find part b in this mark scheme extract

Question number	Indicative content
2(h)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Negative externalities are spillover effects on third parties due to consumption/production • Over-harvesting sea cucumbers can prevent the marine animal from keeping the coral reef ecosystem healthy and so presents negative externalities • One method of government intervention to reduce negative externalities is the use of fines • In an attempt to reduce over-harvesting, the government fined the owner of Orient Seafood Production (OSP) $1.5m for failing to report harvests of 113,400 kg of sea cucumber in a two-year period • This should stop OSP from over-harvesting again in the future • This would act as a deterrent to other firms that may be considering over-harvesting **AO4** • However, it costs money and takes time to police over-harvesting and impose fines on illegal activity • OSP had already harvested 113 400 kg in two years before being fined, this could already have caused a great deal of damage to the coral reef ecosystem • OSP has already made high profits from over-harvesting and so the fine may not be enough of a deterrent • There is a growing demand in China and sales of sea cucumber are profitable so firms may think it is worth risking being caught and being fined • Other methods of government intervention may be more effective

Type MS · Monopoly: features, barriers to entry, pros and cons

Answer 5 of 20 · Question 2 part b · 1 mark

2020 JAN · Paper 01 (regional R) · extract 5 of 6 · find part b in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Monopoly: features, barriers to entry, pros and cons

Answer 5 of 20 · Question 2 part b · 1 mark

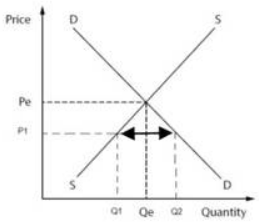
2020 JAN · Paper 01 (regional R) · extract 6 of 6 · find part b in this mark scheme extract

Question number	Answer	Mark

Type MS · Monopoly: features, barriers to entry, pros and cons

Answer 6 of 20 · Question 2 part f · 2 marks

2020 JAN · Paper 01 · extract 1 of 6 · find part f in this mark scheme extract

2(a)	**AO2 1 mark** **A**  	**(1)**

Question number	Answer	Mark
2(b)	**AO1 1 mark** **B** A factor of production	**(1)**

Question number	Answer	Mark
2(c)	**AO1 1 mark** Award 1 mark for correct formula in words/as an equation Total revenue minus total costs	**(1)**

Question number	Answer	Mark
2(d)	**AO2 2 marks** Award 1 mark for showing correct calculation 36 ÷ 30 **(1)** Award 1 mark for correct price elasticity of supply (PES) = 1.2 **(1)** Award 2 marks if PES is correctly calculated as 1.2, even if no calculations are shown Do not award marks for the formula	**(2)**

Type MS · Monopoly: features, barriers to entry, pros and cons

Answer 6 of 20 · Question 2 part f · 2 marks

2020 JAN · Paper 01 · extract 2 of 6 · find part f in this mark scheme extract

Question number	Answer	Mark
2(e)	**AO1 1 mark** Award 1 mark for reference to money used by a business Funding for a firm Accept any other appropriate response	**(1)**

Question number	Answer	Mark
2(f)	**AO1 2 marks** Award 1 mark for the type of business competition and 1 mark for development of the response The Irish Artisan Charcoal Company (IACC) is a monopoly **(1)** as there are no other firms producing charcoal in Ireland **(1)** Accept any other appropriate response	**(2)**

Type MS · Monopoly: features, barriers to entry, pros and cons

Answer 6 of 20 · Question 2 part f · 2 marks

2020 JAN · Paper 01 · extract 3 of 6 · find part f in this mark scheme extract

Question number	Answer	Mark
2(g)	**AO2 3 marks** Award 1 mark for identifying a relevant reason Award 1 mark for developing the reason Award 1 mark for the response being in the context • One reason is that public goods are non-excludable **(1)** meaning that everyone walking/driving along the street would benefit from the lighting **(1)** whether or not they pay anything towards it through taxes **(1)** • One reason is that there is non-rivalry for public goods **(1)** meaning that one person walking/driving along the street is not preventing another person from benefitting from street lighting **(1)** whether or not they pay anything towards it through taxes **(1)** Accept any other appropriate response	**(3)**

Type MS · Monopoly: features, barriers to entry, pros and cons

Answer 6 of 20 · Question 2 part f · 2 marks

2020 JAN · Paper 01 · extract 4 of 6 · find part f in this mark scheme extract

Question number	Indicative content
2(h)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Small firms can offer a personal service so they can meet the needs of the customer more specifically than large firms • Wonderful Wax produces handmade candles and so the personal service offered maybe more likely to attract customers, bringing in more sales • The service offered by Elissa's small firm could cater for a niche part of the market and so some customers may pay higher prices for the candles • By operating a small firm, Elissa is able to maintain control of her business and help the environment by producing candles made with soy wax and essential oils • Increasing production of the candles may mean they can no longer be handmade and Wonderful Wax may lose its identity **AO4** • However, small firms may struggle to meet demand and so may lose customers • Wonderful Wax could potentially sell many more environmentally-friendly candles through use of the production facilities on offer, thus further meeting Elissa's original objective to help the environment • Unit costs of a small firm are likely to be higher as it cannot exploit economies of scale and therefore the profits might be lower • A large firm is more likely to be able to compete should other firms set up selling environmentally-friendly candles

Type MS · Monopoly: features, barriers to entry, pros and cons

Answer 6 of 20 · Question 2 part f · 2 marks

2020 JAN · Paper 01 · extract 5 of 6 · find part f in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Monopoly: features, barriers to entry, pros and cons

Answer 6 of 20 · Question 2 part f · 2 marks

2020 JAN · Paper 01 · extract 6 of 6 · find part f in this mark scheme extract

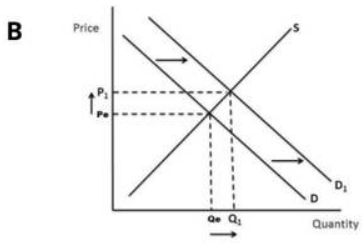
Question number	Answer	Mark

Type MS · Monopoly: features, barriers to entry, pros and cons

Answer 7 of 20 · Question 1 part h · 3 marks

2020 NOV · Paper 01 · extract 1 of 4 · find part h in this mark scheme extract

1(a)	**AO1 1 mark** **C** Opportunity cost	**(1)**

Question number	Answer	Mark
1(b)	**AO2 1 mark** **B** 	**(1)**

Question number	Answer	Mark
1(c)	**AO1 2 marks** Award 1 mark for reference to a negative impact and 1 mark for reference to third party A negative effect **(1)** imposed on a third party **(1)** Accept any other appropriate response	**(2)**

Question number	Answer	Mark
1(d)	**AO1 1 mark** Award 1 mark for correct example Education/healthcare/vaccination Accept any other appropriate response	**(1)**

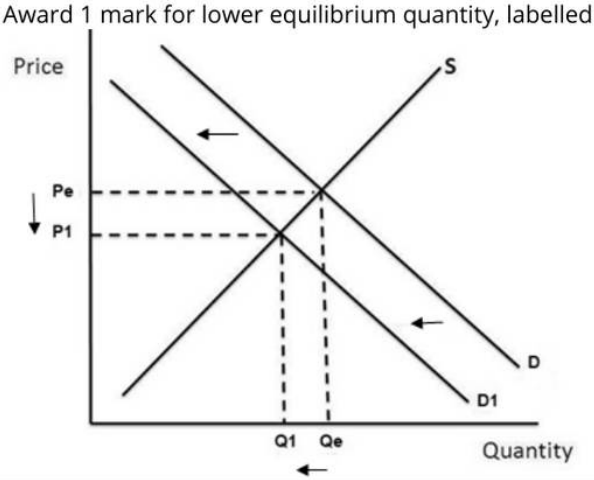
Type MS · Monopoly: features, barriers to entry, pros and cons

Answer 7 of 20 · Question 1 part h · 3 marks

2020 NOV · Paper 01 · extract 2 of 4 · find part h in this mark scheme extract

Question number	Answer	Mark
1(e)	**AO1 1 mark** Award 1 mark for a correct definition The desire for goods and services Accept any other appropriate response	**(1)**

Question number	Answer	Mark
1(f)	**AO2 2 marks** Award 1 mark for showing correct calculation (3,600 + 3,200 + 3,100) - 9,000 **(1)** Award 1 mark for correct excess demand = 900 **(1)** Award 2 marks if excess demand is correctly calculated, even if no calculations are shown Do not award marks for a formula	**(2)**

Question number	Answer	Mark
1(g)	**AO2 3 marks** Award 1 mark for leftward shift of demand, labelled Award 1 mark for lower equilibrium price, labelled Award 1 mark for lower equilibrium quantity, labelled  	**(3)**

Type MS · Monopoly: features, barriers to entry, pros and cons

Answer 7 of 20 · Question 1 part h · 3 marks

2020 NOV · Paper 01 · extract 3 of 4 · find part h in this mark scheme extract

Question number	Answer	Mark
1(h)	**AO2 3 marks** Award 1 mark for identifying a barrier to entry Award 1 mark for developing the response Award 1 mark for the response being in context • One barrier to entry is economies of scale **(1)** because established larger firms such as Sony and Warner may have lower average costs **(1)** whereas new smaller firms may struggle to keep average costs down **(1)** Accept any other appropriate response.	**(3)**

Question number	Indicative content
1(i)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • The four factors of production are land, labour, capital and enterprise • Beans are harvested from coffee plants which means that land is needed to produce coffee • The coffee beans are picked by hand because labour is needed to determine when the fruit is ready to harvest • The process of sorting the beans and transforming them from their natural state to consumable beans, ground or instant products is done by machinery, which is capital. This maybe because is it more productive/cost effective than using labour. • Enterprise combines the other factors of production to make sure the bean gets to the consumer as a consumable product • Thus, all four factors of production may be used to produce coffee as without any one of them the process would not be completed as efficiently

Type MS · Monopoly: features, barriers to entry, pros and cons

Answer 7 of 20 · Question 1 part h · 3 marks

2020 NOV · Paper 01 · extract 4 of 4 · find part h in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	**1–2**	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	**3–4**	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	**5–6**	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Question number	Answer	Mark

Type MS · Monopoly: features, barriers to entry, pros and cons

Answer 8 of 20 · Question 2 part a · 1 mark

2020 NOV · Paper 01 · extract 1 of 6 · find part a in this mark scheme extract

2(a)	**AO2 1 mark** **C** Monopoly	**(1)**

Question number	Answer	Mark
2(b)	**AO1 1 mark** **B** Consumers have habits that are hard to give up	**(1)**

Question number	Answer	Mark
2(c)	**AO1 1 mark** Award 1 mark for correct formula in words/as an equation $\frac{\text{\% change in quantity supplied}}{\text{\% change in price}}$	**(1)**

Type MS · Monopoly: features, barriers to entry, pros and cons

Answer 8 of 20 · Question 2 part a · 1 mark

2020 NOV · Paper 01 · extract 2 of 6 · find part a in this mark scheme extract

Question number	Answer	Mark
2(d)	**AO2 2 marks** Award 1 mark for identifying the variable costs 2 000 + 15 000 **(1)** Award 1 mark for calculating total variable costs = 17 000 QR **(1)** Award 2 marks if total variable costs are correctly calculated as 17 000QR, even if no calculations are shown Award 1 mark if total variable costs are correctly calculated as 17 000 even if no calculations are shown Do not award marks for a formula	**(2)**

Question number	Answer	Mark
2(e)	**AO1 1 mark** Award 1 mark for reference to obtaining control of another firm One firm buys control of another firm Accept any other appropriate response	**(1)**

Question number	Answer	Mark
2(f)	**AO1 2 marks** Award 1 mark for reference to the reason and 1 mark for development of the reason In the short term, consumers may not be able to find an alternative product to switch to **(1)** and so it is only in the longer term that they have more opportunity to look for substitutes **(1)** Accept any other appropriate response	**(2)**

Type MS · Monopoly: features, barriers to entry, pros and cons

Answer 8 of 20 · Question 2 part a · 1 mark

2020 NOV · Paper 01 · extract 3 of 6 · find part a in this mark scheme extract

Question number	Answer	Mark
2(g)	**AO2 3 marks** Award 1 mark for identifying a relevant reason Award 1 mark for developing the reason Award 1 mark for the response being in context • One reason is that a fine may encourage the driver to stay within the speed limit **(1)** because driving too fast may cause accidents **(1)** therefore, fines are likely to reduce the number of accidents and reduce negative externalities **(1)** Accept any other appropriate response	**(3)**

Type MS · Monopoly: features, barriers to entry, pros and cons

Answer 8 of 20 · Question 2 part a · 1 mark

2020 NOV · Paper 01 · extract 4 of 6 · find part a in this mark scheme extract

Question number	Indicative content
2(h)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • The public sector is when government organisations provide goods and services in an economy • The private sector is when the provision of goods and services is by businesses that are owned by individuals or groups of individuals • The economic problem is what, how and for whom to produce when there are finite resources to meet infinite wants • In the private sector businesses such as those producing electronics in Japan, are likely to want to meet the business objective of profit maximisation • Therefore there are likely to be fewer wasted resources, as firms try to keep costs as low as possible when meeting the demand from consumers. This is because resources are likely to be allocated according to the forces of supply and demand • It may therefore rely more on private sector ownership because this is likely to be more efficient when producing goods and services that consumers want, such as clothes, leisure and entertainment • This would mean private sector ownership is more effective in solving the economic problem **AO4** • However, with public sector ownership, the best interests of the public are more likely to be the main objective • Therefore reliance on mostly public sector ownership is likely to be more effective for goods and services that may not be produced in high enough quantities by private sector ownership, such as education, health and street lighting • Although public sector ownership may not be the most efficient, without it, resources may not be used to produce everything needed within an economy • Therefore countries such as Cuba may benefit more from producing with a higher reliance on public sector ownership when trying to solve the economic problem

Type MS · Monopoly: features, barriers to entry, pros and cons

Answer 8 of 20 · Question 2 part a · 1 mark

2020 NOV · Paper 01 · extract 5 of 6 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	**1–3**	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	**4–6**	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	**7–9**	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Monopoly: features, barriers to entry, pros and cons

Answer 8 of 20 · Question 2 part a · 1 mark

2020 NOV · Paper 01 · extract 6 of 6 · find part a in this mark scheme extract

Question number	Answer	Mark

Type MS · Monopoly: features, barriers to entry, pros and cons

Answer 9 of 20 · Question 1 part e · 1 mark

2021 JUN · Paper 01 · extract 1 of 5 · find part e in this mark scheme extract

1(a)	**AO1 1 mark** The only correct answer is: **D** A given amount of resources being fully employed A is not correct because this cannot be determined on a PPC B is not correct because a PPC cannot show *how* production can increase C is not correct because a PPC does not show government revenue	**(1)**

Question Number	Which **one** of the following describes this economic assumption? Answer	Mark
1(b)	**AO2 1 mark** The only correct answer is: **A** Businesses aim to maximise their profit B is not correct because there is no indication of any charitable work taking place C is not correct because consumer behaviour is not described D is not correct because it is not linked to government actions	**(1)**

Question Number	What is meant by the term economies of scale? Answer	Mark
1(c)	**AO1 2 marks** Award 1 mark for reference to reduced average cost and 1 mark for reference to increased output Average costs of production fall **(1)** as the level of output rises **(1)** Accept any other appropriate response	**(2)**

Type MS · Monopoly: features, barriers to entry, pros and cons

Answer 9 of 20 · Question 1 part e · 1 mark

2021 JUN · Paper 01 · extract 2 of 5 · find part e in this mark scheme extract

Question Number	State **one** example of a factor of production that can be classified as land. Answer	Mark
1(d)	**AO1 1 mark** Award 1 mark for correct example • Forest • Rainwater • Coal • Oil Accept any other appropriate response	**(1)**

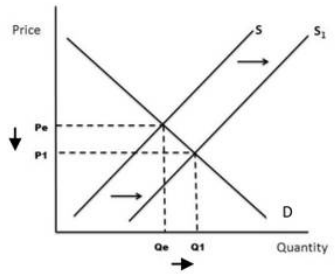
Question Number	Define the term monopoly. Answer	Mark
1(e)	**AO1 1 mark** Award 1 mark for a correct definition One dominant seller in a market Accept any other appropriate response	**(1)**

Question Number	Calculate, to two decimal places, the **price elasticity of demand (PED)** for Alfie's dog-walking service. You are advised to show your working. Answer	Mark
1(f)	**AO2 2 marks** Award 1 mark for showing correct calculation -1.1/1.5 **(1)** Award 1 mark for correct PED = -0.73 **(1)** Award 2 marks if PED is correctly calculated as -0.73, even if no calculations are shown Do not award marks for a formula	**(2)**

Type MS · Monopoly: features, barriers to entry, pros and cons

Answer 9 of 20 · Question 1 part e · 1 mark

2021 JUN · Paper 01 · extract 3 of 5 · find part e in this mark scheme extract

Question Number	Using the diagram below, draw the likely effects on the market for cars of the introduction of more effective technology in production. Label the new curve, the new equilibrium price and the new equilibrium quantity. Answer	Mark
1(g)	**AO2 3 marks** Award 1 mark for rightward shift of supply, labelled Award 1 mark for lower equilibrium price, labelled Award 1 mark for higher equilibrium quantity, labelled  	**(3)**

Question Number	Explain **one** possible effect on the supply of labour of the school-leaving age being raised. Answer	Mark
1(h)	**AO2 3 marks** Award 1 mark for identifying an effect Award 1 mark for developing the response Award 1 mark for the response being in context • One effect would be a decrease in the supply of labour **(1)** because young people would not be able to be employed full-time until they reached the school-leaving age **(1)** which means only people over 18 in England could contribute to the supply of labour **(1)** Accept any other appropriate response	**(3)**

Type MS · Monopoly: features, barriers to entry, pros and cons

Answer 9 of 20 · Question 1 part e · 1 mark

2021 JUN · Paper 01 · extract 4 of 5 · find part e in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, analyse why Bupa may have decided to operate in a wider range of markets. Indicative content
1(i)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • There are several factors that can affect the growth of firms. One of these is the desire to spread risks • By expanding its product range, Bupa can reduce the risk because it is trading in different markets • This means that if there is a problem in one market (such as health insurance) it has other areas in which it can continue to trade • Therefore the range of services, such as hospital and dental treatment, could help to finance the firm and allow it to continue to be successful, if there are problems in other markets • As Bupa operates in 190 countries, it is likely to encounter uncertainty in the different markets and therefore having a range of services means it is reducing the overall risk to the firm

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Monopoly: features, barriers to entry, pros and cons

Answer 9 of 20 · Question 1 part e · 1 mark

2021 JUN · Paper 01 · extract 5 of 5 · find part e in this mark scheme extract

Question Number	Which **one** of the following products has a price inelastic demand? Answer	Mark

Type MS · Monopoly: features, barriers to entry, pros and cons

Answer 10 of 20 · Question 2 part g · 3 marks

2021 JUN · Paper 01 · extract 1 of 6 · find part g in this mark scheme extract

2(a)	**AO2 1 mark** The only correct answer is: **C** Y -0.5 A is not correct because it shows elastic demand B is not correct because this shows unitary elasticity D is not correct because the responsiveness is equal	**(1)**

Question Number	Which **one** of the following is the formula for calculating average cost? Answer	Mark
2(b)	**AO1 1 mark** The only correct answer is: Total cost **C** ---------- Quantity produced A is not correct because not only fixed cost is included B is not correct because revenue is not used in this calculation D is not correct because not only variable cost is included	**(1)**

Question Number	State **one** reason why governments intervene in the economy. Answer	Mark
2(c)	**AO1 1 mark** Award 1 mark for a suitable reason • To correct market failure • Lack of competition • Lack of information Accept any other appropriate response	**(1)**

Type MS · Monopoly: features, barriers to entry, pros and cons

Answer 10 of 20 · Question 2 part g · 3 marks

2021 JUN · Paper 01 · extract 2 of 6 · find part g in this mark scheme extract

Question Number	Calculate the **profit or loss** for the firm for each pair of shoes. You are advised to show your working. Answer	Mark
2(d)	**AO2 2 marks** Award 1 mark for showing correct calculation $89 - ($17 + $35) **(1)** Award 1 mark for correct profit = $37 **(1)** Award 2 marks if profit is correctly calculated as $37, even if no calculations are shown Award 1 mark if the answer given is 37 with or without calculations shown Do not award marks for a formula	**(2)**

Question Number	Define the term fine. Answer	Mark
2(e)	**AO1 1 mark** Award 1 mark for a correct definition A financial penalty Accept any other appropriate response	**(1)**

Question Number	Describe **one** benefit to consumers of privatisation. Answer	Mark
2(f)	**AO1 2 marks** Award 1 mark for reference to the benefit and 1 mark for development of the benefit Firms are likely to offer lower prices **(1)** because they are trying to attract custom away from competitors **(1)** Accept any other appropriate response	**(2)**

Type MS · Monopoly: features, barriers to entry, pros and cons

Answer 10 of 20 · Question 2 part g · 3 marks

2021 JUN · Paper 01 · extract 3 of 6 · find part g in this mark scheme extract

Question Number	Explain **one** reason why Microsoft might have patents on its designs. Answer	Mark
2(g)	**AO2 3 marks** Award 1 mark for identifying a relevant reason Award 1 mark for developing the reason Award 1 mark for the response being in context • One reason is that it would prevent competitors copying the designs **(1)** meaning Microsoft could charge higher prices to help recover the cost of research and development **(1)** needed to create the new computer software **(1)** Accept any other appropriate response	**(3)**

Type MS · Monopoly: features, barriers to entry, pros and cons

Answer 10 of 20 · Question 2 part g · 3 marks

2021 JUN · Paper 01 · extract 4 of 6 · find part g in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, assess whether a firm, such as a fast food restaurant, always benefits from using division of labour. Indicative content
2(h)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Division of labour is where the production process is split into small tasks • It means that each worker can specialise on a single part of the production process, such as chopping lettuce to put in burgers or peeling potatoes to make the fries • This means they can become more skilled at that particular task and removes the need to move around the kitchen as much • Employees are therefore much faster, increasing efficiency and reducing cost per unit for firms • Employees may also enjoy their job more because they are better at it, making them more motivated and increasing productivity • Therefore customers at the fast food restaurants can be served more quickly, in-keeping with the concept of 'fast food' and leading to higher profits for the firm **AO4** • However, employees may find repeating the same task boring, especially if it is something straightforward such as frying burgers • Therefore they may actually become demotivated instead and this could increase staff turnover • This could lead to a decrease in productivity and/or higher costs for the restaurant if it needs to replace employees • Mistakes or slow production at one stage (such as chopping lettuce) may hold up a later stage and therefore customers would still need to wait for their orders

Type MS · Monopoly: features, barriers to entry, pros and cons

Answer 10 of 20 · Question 2 part g · 3 marks

2021 JUN · Paper 01 · extract 5 of 6 · find part g in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Monopoly: features, barriers to entry, pros and cons

Answer 10 of 20 · Question 2 part g · 3 marks

2021 JUN · Paper 01 · extract 6 of 6 · find part g in this mark scheme extract

Question Number	Which **one** of the following factors may cause a shift of the demand curve? Answer	Mark

Type MS · Monopoly: features, barriers to entry, pros and cons

Answer 11 of 20 · Question 2 part e · 1 mark

2021 NOV · Paper 01 · extract 1 of 6 · find part e in this mark scheme extract

2(a)	**AO2 1 mark** The only correct answer is: **B** X A is not correct because there will be no unemployed resources C is not correct because it is not achievable D is not correct because all resources will be fully employed	**(1)**

Question number	Answer	Mark
2(b)	**AO1 1 mark** The only correct answer is: **C** employee rights A is not correct because consumers are not members of the union B is not correct because this is not the responsibility of a trade union D is not correct because trade unions are independent of the government	**(1)**

Question number	Answer	Mark
2(c)	**AO1 1 mark** Award 1 mark for a correct reason • Size of market • Nature of market (niche) • Lack of finance • Aims of the entrepreneur Accept any other appropriate response	**(1)**

Type MS · Monopoly: features, barriers to entry, pros and cons

Answer 11 of 20 · Question 2 part e · 1 mark

2021 NOV · Paper 01 · extract 2 of 6 · find part e in this mark scheme extract

Question number	Answer	Mark
2(d)	**AO2 2 marks** Award 1 mark for showing correct calculation 2.7/4.9 **(1)** Award 1 mark for correct PES = 0.55 **(1)** Award 2 marks if PES is correctly calculated as 0.55, even if no calculations are shown Do not award marks for a formula	**(2)**

Question number	Answer	Mark
2(e)	**AO1 1 mark** Award 1 mark for reference to a firm setting the market price A dominant firm sets the price in the market Accept any other appropriate response	**(1)**

Question number	Answer	Mark
2(f)	**AO1 2 marks** Award 1 mark for reference to the reason and 1 mark for development of the reason A computer can be used to help make goods and services **(1)** therefore a computer is capital **(1)** Accept any other appropriate response	**(2)**

Type MS · Monopoly: features, barriers to entry, pros and cons

Answer 11 of 20 · Question 2 part e · 1 mark

2021 NOV · Paper 01 · extract 3 of 6 · find part e in this mark scheme extract

Question number	Answer	Mark
2(g)	**AO2 3 marks** Award 1 mark for identifying a relevant factor Award 1 mark for developing the response Award 1 mark for the response being in context • Access to finance. **(1)** Abi would need to obtain more money to be able to move to larger premises. **(1)** She may not have enough/be able to borrow enough finance to fund the expansion **(1)** Accept any other appropriate response	**(3)**

Type MS · Monopoly: features, barriers to entry, pros and cons

Answer 11 of 20 · Question 2 part e · 1 mark

2021 NOV · Paper 01 · extract 4 of 6 · find part e in this mark scheme extract

Question number	Indicative content
2(h)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Negative externalities are spillover effects on third parties due to consumption/production • Pollution is an example of a negative externality because it is created by high volumes of traffic and has an external cost to people in Jakarta • One method of government intervention to reduce negative externalities is the use of regulation • These regulations will limit the amount of pollution produced and reduce the externalities • The Indonesian Government introduced the traffic-free regulation in an attempt to reduce pollution levels in Jakarta because less traffic should lead to less fumes being emitted into the environment • The regulation covers over 8 km of Jakarta's streets on a Sunday, meaning a section of the city is not subjected to the negative externality of traffic fumes during this time • In 2016 air-quality had improved by 65% since the regulations were introduced, meaning the regulations have been quite effective in reducing the negative externality **AO4** • However, there is no guarantee that the reduced pollution level is a direct result of the traffic-free regulation • Other measures may be in place such as the taxation on fuel • The effectiveness of the regulations depends on the level of enforcement from the government and cooperation from the public • The number of vehicles registered in the area is increasing, meaning that pollution is also likely to increase again • There are likely to be other factors causing pollution in the city, such as from factories

Type MS · Monopoly: features, barriers to entry, pros and cons

Answer 11 of 20 · Question 2 part e · 1 mark

2021 NOV · Paper 01 · extract 5 of 6 · find part e in this mark scheme extract

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Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Monopoly: features, barriers to entry, pros and cons

Answer 11 of 20 · Question 2 part e · 1 mark

2021 NOV · Paper 01 · extract 6 of 6 · find part e in this mark scheme extract

Question number	Answer	Mark

Type MS · Monopoly: features, barriers to entry, pros and cons

Answer 12 of 20 · Question 4 part c · 12 marks

2022 JUN · Paper 01 · extract 1 of 5 · find part c in this mark scheme extract

4(a)	**AO2 2 marks** Award 1 mark for showing correct calculation 408 - (98 + 114 + 107) **(1)** Award 1 mark for correct excess supply = 89 seats **(1)** Award 2 marks if excess supply is correctly calculated as 89 seats even if no calculations are shown Do not award marks for a formula	**(2)**

Question number	Indicative content
4(b)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • The free rider problem is when a person enjoys the benefit of a good without paying for it • Street lighting is an example of a public good and it is provided by the government • It is non-excludable, meaning no one can be excluded from its consumption if they had not paid, there would be no reason for private individuals to pay for the street lighting • Consumption of street lighting by one person will not reduce the amount available for others; it has non-rivalry • Therefore, public goods, such as street lighting lead to the free rider problem because they would not be paid for by private individuals and as a result are paid by the government

Type MS · Monopoly: features, barriers to entry, pros and cons

Answer 12 of 20 · Question 4 part c · 12 marks

2022 JUN · Paper 01 · extract 2 of 5 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Monopoly: features, barriers to entry, pros and cons

Answer 12 of 20 · Question 4 part c · 12 marks

2022 JUN · Paper 01 · extract 3 of 5 · find part c in this mark scheme extract

Question number	Indicative content
4(c)	**AO2 (4 marks)/AO3 (4 marks)/AO4 (4 marks)** **AO2 and AO3** • A monopoly is a market structure with one dominant seller in the market • KCOM is the only telecoms provider serving Kingston upon Hull, making it a monopoly • As it has no competition, broadband consumers have no choice but to use KCOM's service • This means KCOM can be a price maker for its broadband packages. It is expensive and costs more than anywhere else in England • There is restricted choice in the market, such as areas where fibre optic packages are not available and there are low download limits. This is because there is only one supplier • It may be that KCOM does not have any incentive to spend money on product innovation and some areas do not have access to fibre optics where the broadband is much faster • KCOM may be inefficient because it does not need to keep its costs low in order to compete with other firms **AO4** • However, due to its dominance of the telecoms market in Kingston upon Hull, KCOM may be able to take advantage of economies of scale • This means that the firm may have low (long-run) average costs as a result of purchasing or technical economies of scale • Therefore it is possible that KCOM could decide to pass the lower costs on to the consumer in the form of lower prices • KCOM may also be more efficient because it is not duplicating resources used by competitors • This may have helped KCOM to provide fast fibre optic broadband speeds in some areas of up to 250Mb • KCOM may also be able to innovate due to its lower (long-run) average costs, meaning it may be able to provide high quality television packages when it makes them available • It may depend on the objectives of the monopoly owners whether the firm passes any of its benefits on to the consumer

Type MS · Monopoly: features, barriers to entry, pros and cons

Answer 12 of 20 · Question 4 part c · 12 marks

2022 JUN · Paper 01 · extract 4 of 5 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–4	• Demonstrates isolated elements of relevant knowledge and understanding; may lack development of relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Chain of reasoning may be attempted. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness. A judgement or conclusion is unlikely to be attempted (AO4).
Level 2	5–8	• Demonstrates partial selectivity and some accurate knowledge and understanding by developing some relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Chain of reasoning will be present but may be limited. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness. A judgement or conclusion is attempted, but may not be fully supported (AO4).
Level 3	9–12	• Demonstrates specific and accurate knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Chain of reasoning will be coherent and logical. Interpretation of economic information will be excellent with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness. A supported judgement or conclusion is present (AO4).

Type MS · Monopoly: features, barriers to entry, pros and cons

Answer 12 of 20 · Question 4 part c · 12 marks

2022 JUN · Paper 01 · extract 5 of 5 · find part c in this mark scheme extract

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Type MS · Monopoly: features, barriers to entry, pros and cons

Answer 13 of 20 · Question 1 part e · 1 mark

2023 JAN · Paper 01 (regional R) · extract 1 of 5 · find part e in this mark scheme extract

1(a)	**AO1 1 mark** The only correct answer is: **A** Land B is not correct because labour is a human resource C is not correct because capital is a man-made resource D is not correct because enterprise is the element of risk	**(1)**

Question number	A firm has total costs of $700. It sells 300 items at a price of $20 each. What is the profit for the firm? **Answer**	**Mark**
1(b)	**AO2 1 mark** The only correct answer is: **A** $5 300 B is not correct because this is 300 x $20 C is not correct because this is ($700 x $20) - 300 D is not correct because this is $700 x $20	**(1)**

Question number	What is meant by the term supply? **Answer**	**Mark**
1(c)	**AO1 2 marks** Award 1 mark for reference to amount producers are willing and able to sell and 1 mark for reference to price The quantity of goods or services producers are willing and able to sell **(1)** at a given price/at a given time **(1)** Accept any other appropriate response	**(2)**

Type MS · Monopoly: features, barriers to entry, pros and cons

Answer 13 of 20 · Question 1 part e · 1 mark

2023 JAN · Paper 01 (regional R) · extract 2 of 5 · find part e in this mark scheme extract

Question number	State one type of an external economy of scale. **Answer**	Mark
1(d)	**AO1 1 mark** Award 1 mark for correct type • Skilled labour/infrastructure/access to suppliers/similar businesses in area Accept any other appropriate response	**(1)**

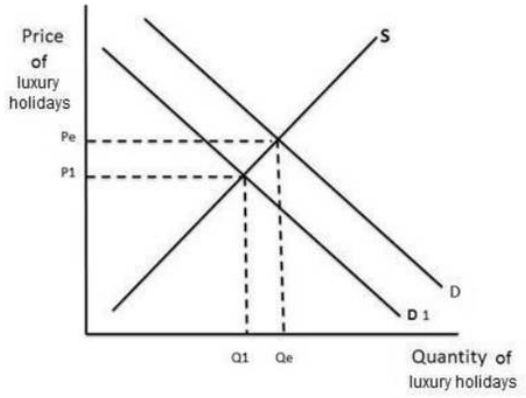
Question number	Define the term unique product. **Answer**	Mark
1(e)	**AO1 1 mark** Award 1 mark for a correct definition A good/service for which there is no substitute Accept any other appropriate response	**(1)**

Question number	Calculate the price elasticity of supply (PES) for Connor's hair salon. You are advised to show your working. **Answer**	Mark
1(f)	**AO2 2 marks** Award 1 mark for showing correct calculation 2.6%/2% **(1)** Award 1 mark for correct PED = 1.3 **(1)** Award 2 marks if PES is correctly calculated as 1.3, even if no calculations are shown Do not award marks for a formula	**(2)**

Type MS · Monopoly: features, barriers to entry, pros and cons

Answer 13 of 20 · Question 1 part e · 1 mark

2023 JAN · Paper 01 (regional R) · extract 3 of 5 · find part e in this mark scheme extract

Question number	Using the diagram below, draw the likely effect on the market for luxury holidays after a fall in income. Label the new curve, the new equilibrium price and the new equilibrium quantity. **Answer**	Mark
1(g)	**AO2 3 marks** Award 1 mark for leftward shift of demand, labelled Award 1 mark for lower equilibrium price, labelled Award 1 mark for lower equilibrium quantity, labelled  	(3)

Question number	Explain one possible disadvantage of privatisation for workers in the telecoms industry in Angola. **Answer**	Mark
1(h)	**AO2 3 marks** Award 1 mark for identifying a disadvantage Award 1 mark for developing the response Award 1 mark for the response being in context • Workers may be made redundant as a result of privatisation **(1)** because private firms are likely to want the telecoms industry to reduce costs **(1)** in order to increase efficiency **(1)** Accept any other appropriate response	(3)

Type MS · Monopoly: features, barriers to entry, pros and cons

Answer 13 of 20 · Question 1 part e · 1 mark

2023 JAN · Paper 01 (regional R) · extract 4 of 5 · find part e in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, analyse the impact on the economy after a movement from A to B on the production possibility curve (PPC). **Indicative content**
1(i)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • A PPC shows the combination of goods that can be produced with all available resources • The maximum productive potential of the economy can be seen at point A on the PPC, where if 350 million units of capital goods are produced, 160 million units of consumer goods can be produced • If the number of capital goods produced increases to 450 million units it is not possible to continue to produce 160 million units of consumer goods • The number of consumer goods produced must fall by 30 million units, to 130 million units. This is shown at point B. (There is an opportunity cost) • As the number of capital goods produced increases, there will be an increase in the productive capacity of the economy • Because the economy can now produce more, the PPC will shift outwards allowing an increase in the number of capital goods and consumer goods to be produced in the future • An outward shift of the PPC indicates positive economic growth of the economy

Level	**Mark**	**Descriptor**
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Monopoly: features, barriers to entry, pros and cons

Answer 13 of 20 · Question 1 part e · 1 mark

2023 JAN · Paper 01 (regional R) · extract 5 of 5 · find part e in this mark scheme extract

Question number	Which one of the following options best describes the demand for the product? **Answer**	**Mark**

Type MS · Monopoly: features, barriers to entry, pros and cons

Answer 14 of 20 · Question 2 part c · 2 marks

2023 JAN · Paper 01 · extract 1 of 6 · find part c in this mark scheme extract

2(a)	**AO2 1 mark** The only correct answer is: **D** Oligopoly A is not correct because it does not show employment levels B is not correct because this is a sector not a market C is not correct because there is more than one firm	**(1)**

Question number	An increase in which one of the following is most likely to increase productivity? **Answer**	**Mark**
2(b)	**AO1 1 mark** The only correct answer is: **C** Irrigation A is not correct because this is likely to reduce productivity B is not correct because this increases time and costs D is not correct because this increases tasks for the firm to carry out	**(1)**

Question number	What is meant by the term barriers to entry? **Answer**	**Mark**
2(c)	**AO1 2 marks** Award 1 mark for reference to obstacles and 1 mark for reference to making it difficult for new firms to enter a market These are obstacles **(1)** that make it difficult for a new firm to enter a market **(1)** Accept any other appropriate response	**(2)**

Type MS · Monopoly: features, barriers to entry, pros and cons

Answer 14 of 20 · Question 2 part c · 2 marks

2023 JAN · Paper 01 · extract 2 of 6 · find part c in this mark scheme extract

Question number	Calculate the total costs per month for the firm. You are advised to show your working. **Answer**	Mark
2(d)	**AO2 2 marks** Award 1 mark for showing correct calculation $57 000 + ($750 x 1820) **(1)** Award 1 mark for correct total costs = $1 422 000 **(1)** Award 2 marks if total costs per month are correctly calculated as $1 422 000, even if no calculations are shown Award 1 mark for 1 422 000, even if no calculations are shown Do not award marks for a formula	**(2)**

Question number	Describe one disadvantage for a government of using subsidies. **Answer**	Mark
2(e)	**AO1 2 marks** Award 1 mark for reference to the disadvantage and 1 mark for development of the disadvantage • There may be an opportunity cost. **(1)** The money spent on the subsidy may be more effective if spent on other government projects **(1)** Accept any other appropriate response	**(2)**

Type MS · Monopoly: features, barriers to entry, pros and cons

Answer 14 of 20 · Question 2 part c · 2 marks

2023 JAN · Paper 01 · extract 3 of 6 · find part c in this mark scheme extract

Question number	Explain one reason why Heather may have decided to keep her business small. **Answer**	**Mark**
2(f)	**AO2 3 marks** Award 1 mark for identifying a relevant reason Award 1 mark for developing the reason Award 1 mark for the response being in context • The size of the market. **(1)** There may already be a high number of restaurants in the area **(1)** meaning Heather does not want to try to compete with other restaurant chains **(1)** • Access to finance may be difficult for a small business **(1)** because banks/lenders may believe it is too much of a risk, **(1)** so Heather may not be able to afford to buy the new premises necessary to open another restaurant **(1)** Accept any other appropriate response	**(3)**

Type MS · Monopoly: features, barriers to entry, pros and cons

Answer 14 of 20 · Question 2 part c · 2 marks

2023 JAN · Paper 01 · extract 4 of 6 · find part c in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, assess the extent to which a merger between CK Hutch and Indosat is likely to lead to economies of scale. **Indicative content**
2(g)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Economies of scale occur when average costs decrease as a firm expands • A merger between CK Hutch and Indosat would lead to a new, larger telecommunications firm • Larger firms can usually operate at a lower unit cost than smaller firms due to the ability to make bulk purchases, combine marketing expenses and share technology • The new firm is likely to attract more customers, requiring a need to purchase more equipment. This could be done at a lower price per unit • Advertising of both CK Hutch and Indosat could be combined, reducing the advertising costs • As both firms would have used research and development departments, a merger would allow these to combine to reduce costs • This means economies of scale are likely to be enjoyed if the firms merge **AO4** • Economies of scale do not always occur or give the expected results • This expansion could result in pushing the merged firm beyond the minimum efficient scale, leading to diseconomies of scale • Diseconomies occur when average costs increase as a firm expands • Communication problems may occur due to the increased number of employees • There may be more bureaucracy due to the increased size of the firm • A larger gap between the management and the employees may occur due to the higher number of employees which could lead to reduced control • As Indosat's +60 million customer base is growing, this could result in further diseconomies of scale

Type MS · Monopoly: features, barriers to entry, pros and cons

Answer 14 of 20 · Question 2 part c · 2 marks

2023 JAN · Paper 01 · extract 5 of 6 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Monopoly: features, barriers to entry, pros and cons

Answer 14 of 20 · Question 2 part c · 2 marks

2023 JAN · Paper 01 · extract 6 of 6 · find part c in this mark scheme extract

Question number	Which one of the following could be described as an economic need? **Answer**	**Mark**

Type MS · Monopoly: features, barriers to entry, pros and cons

Answer 15 of 20 · Question 2 part h · 9 marks

2023 JUN · Paper 01 · extract 1 of 6 · find part h in this mark scheme extract

2(a)	**AO1 1 mark** The only correct answer is: **B** Excess supply A is not correct because this would lead to a shortage of goods in the market C is not correct because lower prices may be needed to sell unsold goods D is not correct because this would not result from unsold goods in the market	**(1)**

Question number	Which **one** of the following statements is correct? **Answer**	**Mark**
2(b)	**AO1 1 mark** The only correct answer is: **C** Quantity supplied will fall when price falls A is not correct because this is only true when supply is fixed B is not correct because supply is affected by changes in price D is not correct because the supply curve does not shift due to a price change	**(1)**

Question number	State the name for price elasticity of demand (PED) with a numerical value of -1. **Answer**	**Mark**
2(c)	**AO1 1 mark** Award 1 mark for the correct type of price elasticity of demand (PED) • Unitary	**(1)**

Type MS · Monopoly: features, barriers to entry, pros and cons

Answer 15 of 20 · Question 2 part h · 9 marks

2023 JUN · Paper 01 · extract 2 of 6 · find part h in this mark scheme extract

Question number	Calculate, to two decimal places, the **price elasticity of supply (PES)** for shoes. You are advised to show your working. **Answer**	Mark
2(d)	**AO2 2 marks** Award 1 mark for showing correct calculation -2.7%/-1.9% **(1)** Award 1 mark for correct PES 1.42 **(1)** Award 2 marks if PES is correctly calculated as 1.42, even if no calculations are shown Do not award marks for a formula	**(2)**

Question number	Define the term substitute. **Answer**	Mark
2(e)	**AO1 1 mark** Award 1 mark for a correct definition • An alternative bought/produced in place of something else Accept any other appropriate response	**(1)**

Question number	Describe **one** reason why a firm might stay small. **Answer**	Mark
2(f)	**AO1 2 marks** Award 1 mark for reference to the reason and 1 mark for development of the reason • It may already be making enough money **(1)** to satisfy the needs of the owner **(1)** • The size of the market may be small **(1)** which means expansion is difficult **(1)** Accept any other appropriate response	**(2)**

Type MS · Monopoly: features, barriers to entry, pros and cons

Answer 15 of 20 · Question 2 part h · 9 marks

2023 JUN · Paper 01 · extract 3 of 6 · find part h in this mark scheme extract

Question number	Explain **one** advantage of positive reviews for the owners of food stalls in Taba. **Answer**	Mark
2(g)	**AO2 3 marks** Award 1 mark for identifying a relevant advantage Award 1 mark for developing the advantage Award 1 mark for the advantage being in context • Stalls offering quality food will gain more customers **(1)** because customers will be attracted by the positive reviews **(1)** instead of buying from competitors **(1)** • Demand will increase for food from these stalls **(1)** leading to an increase in revenue **(1)** which will increase profit for the food stall owners **(1)** Accept any other appropriate response	**(3)**

Type MS · Monopoly: features, barriers to entry, pros and cons

Answer 15 of 20 · Question 2 part h · 9 marks

2023 JUN · Paper 01 · extract 4 of 6 · find part h in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, assess whether a monopoly such as PKP is likely to benefit consumers. **Indicative content**
2(h)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • A monopoly is a market structure with one dominant seller in the market • PKP is the main rail carrier for passenger and freight services in Poland, making it a monopoly • Due to its dominance of the rail network in Poland, PKP may be able to take advantage of economies of scale • This means that the firm may have low (long-run) average costs as a result of purchasing or technical economies of scale • Therefore, it is possible that PKP could decide to pass the lower costs on to its passengers in the form of lower prices • PKP may also be more efficient because it is not duplicating resources, such as the railway tracks, used by competitors • This may have helped PKP to meet the transport needs of the state; one of its aims • PKP may also be able to innovate due to its lower (long-run) average costs, meaning it may be able to provide a high-quality service on its trains **AO4** • However, as it has few competitors, rail passengers and those transporting freight have little choice but to use PKP's service • This means PKP can be a price maker for its train services, which is not in the interest of its consumers • There is restricted choice in the market, such as which routes a passenger can take. This is because there is only one main supplier • PKP may be inefficient because it does not need to keep its costs low in order to compete with limited competition • It may be that PKP does not have any incentive to spend money on product innovation and some areas may not have access to train travel

Type MS · Monopoly: features, barriers to entry, pros and cons

Answer 15 of 20 · Question 2 part h · 9 marks

2023 JUN · Paper 01 · extract 5 of 6 · find part h in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Monopoly: features, barriers to entry, pros and cons

Answer 15 of 20 · Question 2 part h · 9 marks

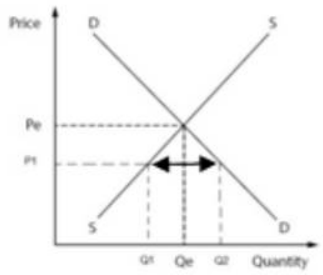
2023 JUN · Paper 01 · extract 6 of 6 · find part h in this mark scheme extract

Question number		Mark
	Income elasticity of demand (YED) for a product is -0.43 and the price elasticity of demand (PED) for the same product is -0.27. The data above shows that the product is **Answer**	

Type MS · Monopoly: features, barriers to entry, pros and cons

Answer 16 of 20 · Question 2 part e · 2 marks

2024 JUN · Paper 01 (regional R) · extract 1 of 6 · find part e in this mark scheme extract

2(a)	**AO2 1 mark** The only correct answer is: **A**  B is not correct because this shows a movement along the demand curve C is not correct because this shows excess supply D is not correct because this shows a decrease in demand	**(1)**

Question number	Which **one** of the following is a feature of an oligopoly? **Answer**	**Mark**
2(b)	**AO1 1 mark** The only correct answer is: **C** Different products are sold A is not correct because there are a few large firms in the market B is not correct because firms often collude D is not correct because there are some barriers to entry	**(1)**

Type MS · Monopoly: features, barriers to entry, pros and cons

Answer 16 of 20 · Question 2 part e · 2 marks

2024 JUN · Paper 01 (regional R) · extract 2 of 6 · find part e in this mark scheme extract

Question number	Calculate the **percentage change in quantity supplied** for a product if the price elasticity of supply (PES) is 1.5 and the price increases by 12%. You are advised to show your working. **Answer**	**Mark**
2(c)	**AO2 2 marks** Award 1 mark for showing the correct calculation 1.5 x 12% **(1)** **OR** $\frac{X\ \%}{12\% = 1.5}$ **(1)** Award 1 mark for correct change in quantity supplied = 18% **(1)** Award 2 marks if the percentage change in quantity supplied is correctly calculated as 18%, even if no calculations are shown Award 1 mark if the percentage change in quantity supplied is calculated as 18, even if no calculations are shown Do not award marks for a formula	**(2)**

Question number	What is meant by the term social costs? **Answer**	**Mark**
2(d)	**AO1 1 mark** Award up to 2 marks for correct definition Private costs **(1)** plus external costs **(1)** Accept any other appropriate response	**(2)**

Type MS · Monopoly: features, barriers to entry, pros and cons

Answer 16 of 20 · Question 2 part e · 2 marks

2024 JUN · Paper 01 (regional R) · extract 3 of 6 · find part e in this mark scheme extract

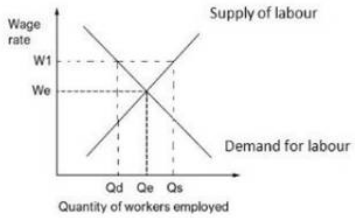
Question number	Describe **one** reason why innovation may be more likely to occur in a monopoly. **Answer**	Mark
2(e)	**AO1 2 marks** Award 1 mark for reference to the feature and 1 mark for development of the feature Monopoly may be a price-maker **(1)** allowing higher profits which can be used to develop new products/services **(1)** Accept any other appropriate response	**(2)**

Question number	Explain **one** reason why Sajad may decide to expand his business. **Answer**	Mark
2(f)	**AO2 3 marks** Award 1 mark for identifying a relevant reason Award 1 mark for developing the reason Award 1 mark for the response being in context • Economies of scale may be gained **(1)** due to spreading marketing costs across the business **(1)** because Sajad could advertise both shops for the same cost as just one **(1)** • The desire to spread risk **(1)** may mean Sajad is more confident of maintaining a successful business **(1)** because even if sales decrease at one shop, he has the other to fall back on **(1)** Accept any other appropriate response	**(3)**

Type MS · Monopoly: features, barriers to entry, pros and cons

Answer 16 of 20 · Question 2 part e · 2 marks

2024 JUN · Paper 01 (regional R) · extract 4 of 6 · find part e in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, assess the likely benefits of increasing the minimum wage for employees and firms in the Netherlands. **Indicative content**
2(g)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • The minimum wage is the lowest amount that a firm is legally allowed to pay its employees • The minimum wage in the Netherlands increased to €1 934.40 per month at the start of 2023 • This means that the incomes of employees earning the minimum wage increased by 10.15% each month, giving them more disposable income • Therefore, employees may be able to enjoy a better standard of living due to the wage increase • It may mean employees are more motivated and therefore, lead to higher levels of productivity, meaning firms could increase output • This increase in productivity/output may allow firms to offset the higher wage costs **AO4** • However, if firms cannot afford to pay the higher wage costs because the economy is still weak, they may not be able to employ as many people and this may increase unemployment • Possible use of a diagram:  • If unemployment increases there may be even less spending in the economy, meaning further revenue decreases for firms • This may be more likely at a time when spending in the economy may be reduced due to the high inflation rate of 17% seen in 2022, leading to lower revenues for firms • Employees may not enjoy a higher standard of living, even with the wage increase, due to the high rate of inflation of over 17%

Type MS · Monopoly: features, barriers to entry, pros and cons

Answer 16 of 20 · Question 2 part e · 2 marks

2024 JUN · Paper 01 (regional R) · extract 5 of 6 · find part e in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Monopoly: features, barriers to entry, pros and cons

Answer 16 of 20 · Question 2 part e · 2 marks

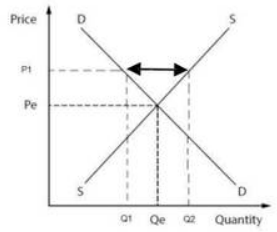
2024 JUN · Paper 01 (regional R) · extract 6 of 6 · find part e in this mark scheme extract

Question number	Which **one** of the following is an example of a job in the primary sector of the economy? **Answer**	Mark

Type MS · Monopoly: features, barriers to entry, pros and cons

Answer 17 of 20 · Question 2 part b · 1 mark

2024 JUN · Paper 01 · extract 1 of 6 · find part b in this mark scheme extract

2(a)	**AO2 1 mark** The only correct answer is:  **C** A is not correct because this shows excess demand B is not correct because this shows an increase in supply D is not correct because this shows a movement along the supply curve	**(1)**

Question number	Which **one** of the following is a feature of a monopoly? **Answer**	**Mark**
2(b)	**AO1 1 mark** The only correct answer is: **C** The firm is a price-maker A is not correct because there is only one firm B is not correct because there would only be one firm in a monopoly D is not correct because barriers to entry would be high in a monopoly	**(1)**

Type MS · Monopoly: features, barriers to entry, pros and cons

Answer 17 of 20 · Question 2 part b · 1 mark

2024 JUN · Paper 01 · extract 2 of 6 · find part b in this mark scheme extract

Question number	Calculate the **percentage change in quantity demanded** for a product if the price elasticity of demand (PED) is -1.9 and the price falls by 10%. You are advised to show your working. **Answer**	Mark
2(c)	**AO2 2 marks** Award 1 mark for showing the correct calculation -10% x -1.9 **(1)** Award 1 mark for correct change in quantity demanded = 19% **(1)** Award 2 marks if the change in quantity demanded is correctly calculated as 19%, even if no calculations are shown Award 1 mark if the change in quantity demanded is calculated as 19, even if no calculations are shown Do not award marks for a formula	**(2)**

Question number	What is meant by the term social benefits? **Answer**	Mark
2(d)	**AO1 1 mark** Award up to 2 marks for a correct definition Private benefits **(1)** plus external benefits **(1)** Accept any other appropriate response	**(2)**

Question number	Describe **one** feature of an oligopoly. **Answer**	Mark
2(e)	**AO1 2 marks** Award 1 mark for reference to the feature and 1 mark for development of the feature Barriers to entry **(1)** therefore fewer firms can enter the market **(1)** OR Different products **(1)** to stand apart from competitors **(1)** Accept any other appropriate response	**(2)**

Type MS · Monopoly: features, barriers to entry, pros and cons

Answer 17 of 20 · Question 2 part b · 1 mark

2024 JUN · Paper 01 · extract 3 of 6 · find part b in this mark scheme extract

Question number	Explain **one** reason why Mostafa may want to offer this discount rather than to maximise profit. **Answer**	**Mark**
2(f)	**AO2 3 marks** Award 1 mark for identifying a relevant reason Award 1 mark for developing the reason Award 1 mark for the response being in context • Managers may have the objective of maximising sales **(1)**. Selling at a 10% discount means lower revenue per sale, so the shop may not maximise profit **(1),** but it may result in higher/more sales due to the lower price **(1)** • Managers may have different objectives to owners **(1)** Mostafa may want to maximise sales because it affects his salary **(1)**. The more he sells the higher his salary will be **(1)** Accept any other appropriate response	**(3)**

Type MS · Monopoly: features, barriers to entry, pros and cons

Answer 17 of 20 · Question 2 part b · 1 mark

2024 JUN · Paper 01 · extract 4 of 6 · find part b in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, assess the effectiveness of government regulation when dealing with externalities such as pollution. **Indicative content**
2(g)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Negative externalities are spillover effects on third parties due to consumption/production • Pollution is an example of a negative externality because its effects are felt by those not producing or using the plastic bags • One method of government intervention to reduce negative externalities is the use of regulation • Regulation, such as the ban on single-use plastic bags, will limit the amount of pollution produced and reduce the externalities due to penalties if it is not followed • The ban in Kenya has led to a cleaner environment as the reduced consumption means the visual pollution and danger to livestock is less of a problem • Therefore, the regulation has been quite effective in reducing the negative externality **AO4** • However, the regulation has not solved the problem of pollution in Kenya • It costs money and takes time to monitor any illegal activity, causing an opportunity cost • The effectiveness of the regulation depends on the level of enforcement by the government and cooperation from the public • There are likely to be other problems, aside from plastic bags causing pollution in Kenya, which may need to be addressed by other methods than regulation • Other methods of government intervention may be more effective, such as fines or taxation

Type MS · Monopoly: features, barriers to entry, pros and cons

Answer 17 of 20 · Question 2 part b · 1 mark

2024 JUN · Paper 01 · extract 5 of 6 · find part b in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
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Type MS · Monopoly: features, barriers to entry, pros and cons

Answer 17 of 20 · Question 2 part b · 1 mark

2024 JUN · Paper 01 · extract 6 of 6 · find part b in this mark scheme extract

Question number	An increase in which **one** of the following is most likely to cause a decrease in the supply of labour? **Answer**	Mark

Type MS · Monopoly: features, barriers to entry, pros and cons

Answer 18 of 20 · Question 2 part e · 2 marks

2024 NOV · Paper 01 · extract 1 of 6 · find part e in this mark scheme extract

2(a)	**AO2 1 mark** The only correct answer is: **B** Oligopoly A is not correct because only one firm would dominate C is not correct because this is not related to the market share D is not correct because the diagram shows sales and not levels of employment	**(1)**

Question number	Which **one** of the following is a reason why consumers may not maximise their benefit? **Answer**	**Mark**
2(b)	**AO1 1 mark** The only correct answer is: **A** Consumers may not accurately calculate benefits B is not correct because consumers may have habits that are hard to give up C is not correct because consumers do sometimes copy the behaviour of others D is not correct because consumers are not always rational when making decisions	**(1)**

Type MS · Monopoly: features, barriers to entry, pros and cons

Answer 18 of 20 · Question 2 part e · 2 marks

2024 NOV · Paper 01 · extract 2 of 6 · find part e in this mark scheme extract

Question number	Calculate the **total variable costs** for the firm in the month of September. You are advised to show your working. **Answer**	**Mark**
2(c)	**AO2 2 marks** Award 1 mark for showing the correct calculation €3 000 + €18 000 **(1)** Award 1 mark for calculating total variable costs = €21 000 **(1)** Award 2 marks if total variable costs are correctly calculated as €21 000, even if no calculations are shown Award 1 mark if the total variable costs are calculated as 21 000, even if no calculations are shown Do not award marks for a formula	**(2)**

Question number	What is meant by the term total revenue? **Answer**	**Mark**
2(d)	**AO1 2 marks** Award up to 2 marks for a correct definition The amount of money gained **(1)** from the sale of all products **(1)** Accept any other appropriate response	**(2)**

Question number	Describe **one** feature of a monopoly. **Answer**	**Mark**
2(e)	**AO1 2 marks** Award 1 mark for reference to the feature and 1 mark for development of the feature High barriers to entry **(1)** therefore new firms cannot enter the market **(1)** OR Unique product **(1)** to allow the firm to remain alone in the market **(1)** Accept any other appropriate response	**(2)**

Type MS · Monopoly: features, barriers to entry, pros and cons

Answer 18 of 20 · Question 2 part e · 2 marks

2024 NOV · Paper 01 · extract 3 of 6 · find part e in this mark scheme extract

Question number	Explain **one** reason why the Italian Government may have introduced legislation that makes it easier for new taxi firms to enter the market. **Answer**	**Mark**
2(f)	**AO2 3 marks** Award 1 mark for identifying a relevant reason Award 1 mark for developing the reason Award 1 mark for the response being in context • The legislation would increase the competition **(1)** therefore increasing the choice of taxis **(1)** meaning it will be easier for the public to find/hire a taxi **(1)** • The legislation would reduce barriers to entry **(1)** reducing the power of taxi firms to charge high fares **(1)** meaning it would be cheaper for the public to travel **(1)** Accept any other appropriate response	**(3)**

Type MS · Monopoly: features, barriers to entry, pros and cons

Answer 18 of 20 · Question 2 part e · 2 marks

2024 NOV · Paper 01 · extract 4 of 6 · find part e in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, assess the effectiveness of trade unions in increasing wages, such as for the transport workers in Germany. **Indicative content**
2(g)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Trade unions can help raise wages for workers by putting pressure on employers during negotiations • In this case a major strike was organised by the trade unions, which makes employers more likely to negotiate • Verdi is Germany's second largest trade union, meaning it could have a lot of influence on employers • 2.5 million transport workers were helped by the union, in obtaining a 5.5% pay increase • Therefore, other firms may be willing to discuss wages with trade unions in order to benefit from increased productivity and/or reduced disruption **AO4** • However, the effectiveness of the trade unions depends upon how many members support the strike action • Verdi was aiming to increase wages by 10.5% for transport workers, meaning trade union membership was only partially effective • Workers may not think it worth paying a membership fee to a trade union if it is unable to deliver wage increases • The effectiveness of trade unions may depend on whether firms can pass on increased costs through increased prices, such as higher prices for passengers to travel by train on German railways • The alternative may be reduced profit margins for the transport firms, meaning they would be less likely to agree to pay increases

Type MS · Monopoly: features, barriers to entry, pros and cons

Answer 18 of 20 · Question 2 part e · 2 marks

2024 NOV · Paper 01 · extract 5 of 6 · find part e in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
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Type MS · Monopoly: features, barriers to entry, pros and cons

Answer 18 of 20 · Question 2 part e · 2 marks

2024 NOV · Paper 01 · extract 6 of 6 · find part e in this mark scheme extract

Question number	Which **one** of the following is most likely to cause a shift to the left of the demand curve? **Answer**	**Mark**

Type MS · Monopoly: features, barriers to entry, pros and cons

Answer 19 of 20 · Question 1 part e · 1 mark

2025 JUN · Paper 01 (regional R) · extract 1 of 5 · find part e in this mark scheme extract

1(a)	**AO1 1 mark** The only correct answer is: **D** Production which is obtainable A is not correct because this cannot be determined on a PPC B is not correct because a PPC cannot show how production can be increased C is not correct because a PPC does not show revenue	**(1)**

Question number	Which **one** of the following describes why the firm might do this? **Answer**	**Mark**
1(b)	**AO2 1 mark** The only correct answer is: **B** Producers may complete charitable work A is not correct because producers would not make a profit C is not correct because it is not linked to consumer actions D is not correct because consumer behaviour is not described	**(1)**

Question number	What is meant by the term economies of scale? **Answer**	**Mark**
1(c)	**AO1 2 marks** Award up to 2 marks for a correct definition Average costs of production fall **(1)** as the firm increases in size **(1)** Accept any other appropriate response	**(2)**

Type MS · Monopoly: features, barriers to entry, pros and cons

Answer 19 of 20 · Question 1 part e · 1 mark

2025 JUN · Paper 01 (regional R) · extract 2 of 5 · find part e in this mark scheme extract

Question number	State **one** example of an item that can be classified as capital. **Answer**	Mark
1(d)	**AO1 1 mark** Award 1 mark for a correct example • Machines • Computers • Factories • Vehicles Accept any other appropriate response	**(1)**

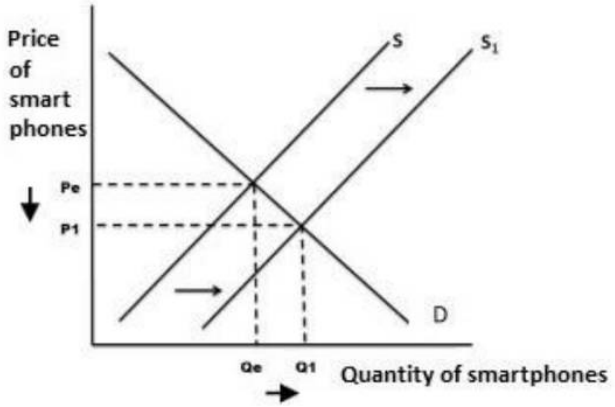
Question number	Define the term price-maker. **Answer**	Mark
1(e)	**AO1 1 mark** Award 1 mark for a correct definition A firm is able to set the price charged in the whole market Accept any other appropriate response	**(1)**

Question number	Calculate, to two decimal places, the **price elasticity of demand (PED)** for a good if the price decreases by 4.7% and the quantity demanded increases by 1.8%. You are advised to show your working. **Answer**	Mark
1(f)	**AO2 2 marks** Award 1 mark for showing correct calculation 1.8%/-4.7% **(1)** Award 1 mark for correct PED = -0.38 **(1)** Award 2 marks if PED is correctly calculated as -0.38 even if no calculations are shown Award 1 mark if PED is calculated as -0.38% with or without calculations shown Do not award marks for the formula	**(2)**

Type MS · Monopoly: features, barriers to entry, pros and cons

Answer 19 of 20 · Question 1 part e · 1 mark

2025 JUN · Paper 01 (regional R) · extract 3 of 5 · find part e in this mark scheme extract

Question number	Using the diagram below, draw the likely effect on the market for smartphones following an increase in productivity. Label the new curve, the new equilibrium price and the new equilibrium quantity. **Answer**	**Mark**
1(g)	**AO2 3 marks** Award 1 mark for a rightward shift of the supply curve, labelled Award 1 mark for a lower equilibrium price, labelled Award 1 mark for higher equilibrium quantity, labelled  	**(3)**

Question number	Explain **one** possible effect of this change in the pension age on the supply of labour. **Answer**	**Mark**
1(h)	**AO2 3 marks** Award 1 mark for identifying a relevant effect Award 1 mark for developing the effect Award 1 mark for the response being in context • One effect would be an increase in the supply of labour **(1)** because fewer people would be able to afford to retire until they reached the retirement age **(1)** meaning more people up to the age of 64 would be available for work **(1)** Accept any other appropriate response	**(3)**

Type MS · Monopoly: features, barriers to entry, pros and cons

Answer 19 of 20 · Question 1 part e · 1 mark

2025 JUN · Paper 01 (regional R) · extract 4 of 5 · find part e in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, analyse the impact of an increase in price on the quantity supplied of avocados. **Indicative content**
1(i)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • The diagram shows that the PES of avocados is inelastic • This means that the quantity of avocados supplied is not very responsive to an increase in price • The PES of avocados is inelastic because farmers cannot easily increase the production level even with an increase in price • Avocados take time to grow and are primary/agricultural products. The supply is dependent on factors such as weather/climate. It cannot therefore be easily increased, even if there is an increase in the price consumers are willing and able to pay • It is also not possible to store avocados for a long period because they are perishable and therefore stock cannot be used to increase the quantity of supply, this also makes the PES of avocados inelastic

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Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
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Type MS · Monopoly: features, barriers to entry, pros and cons

Answer 19 of 20 · Question 1 part e · 1 mark

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Question number	Which **one** of the following products has a price elastic demand? **Answer**	**Mark**

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Answer 20 of 20 · Question 2 part d · 2 marks

2025 JUN · Paper 01 (regional R) · extract 1 of 5 · find part d in this mark scheme extract

2(a)	**AO2 1 mark** The only correct answer is: **A** W -1.5 B is not correct because this shows unitary elasticity C is not correct because it shows inelastic demand D is not correct because it is perfectly inelastic	**(1)**

Question number	Which **one** of the following is the formula for calculating average cost? **Answer**	**Mark**
2(b)	**AO1 1 mark** The only correct answer is: **A** Total cost ÷ quantity produced B is not correct because only fixed cost is included C is not correct because only variable cost is included D is not correct because revenue is not used in this calculation	**(1)**

Question number	Calculate the **profit or loss** for the firm for each calculator. You are advised to show your working. **Answer**	**Mark**
2(c)	**AO2 2 marks** Award 1 mark for showing the correct calculation $12.50 - ($3.25 + $4.58) **(1)** Award 1 mark for calculating correct profit = $4.67 **(1)** Award 2 marks if profit is correctly calculated as $4.67, even if no calculations are shown Award 1 mark if the answer given is 4.67 with or without calculations shown Do not award marks for a formula	**(2)**

Question number	What is meant by the term patent?	**Mark**

Type MS · Monopoly: features, barriers to entry, pros and cons

Answer 20 of 20 · Question 2 part d · 2 marks

2025 JUN · Paper 01 (regional R) · extract 2 of 5 · find part d in this mark scheme extract

	Answer	
2(d)	**AO1 2 marks** Award up to 2 marks for a correct definition A licence to be the only producer **(1)** of a newly designed product **(1)** Accept any other appropriate response	**(2)**

Question number	Describe **one** advantage to a firm of being privatised. **Answer**	**Mark**
2(e)	**AO1 2 marks** Award 1 mark for reference to the advantage and 1 mark for development of the advantage The firm is able to set its own objectives **(1)** as it takes control over its own actions **(1)** Accept any other appropriate response	**(2)**

Question number	Explain **one** reason why the US Government may use fines to reduce the negative externalities caused by motorists who drive through a red traffic light. **Answer**	**Mark**
2(f)	**AO2 3 marks** Award 1 mark for identifying a relevant reason Award 1 mark for developing the reason Award 1 mark for the response being in context • It may encourage the driver to stop. **(1)** As driving through a red traffic light may cause accidents, **(1)** fines are likely to reduce the number of accidents **(1)** • It may reduce accidents **(1)** because the driver does not want to be fined, **(1)** so they are less likely to drive through a red light **(1)** Accept any other appropriate response	**(3)**

Type MS · Monopoly: features, barriers to entry, pros and cons

Answer 20 of 20 · Question 2 part d · 2 marks

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Question number	With reference to the data above and your knowledge of economics, assess whether a car manufacturer always benefits from using division of labour. **Indicative content**
2(g)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • By using division of labour each worker at the car manufacturing firm can specialise on a single part of the production process, such as inspection or testing • This means they can become more skilled at that particular task and removes the need to move around the factory as much • Employees are therefore much faster, increasing efficiency and reducing cost per unit for firms • Therefore, car dealers buying the vehicles and their customers can be sold the cars more quickly and/or at lower prices, potentially leading to higher revenue for the car manufacturing firm **AO4** • However, employees may find repeating the same task boring, especially if it is something straightforward such as welding a specific component • Therefore, they may actually become demotivated instead and this could increase staff turnover • This could lead to a decrease in productivity and/or higher costs for the car manufacturer if it needs to replace employees • Mistakes or slow production at one stage (such as painting) may hold up a later stage and therefore customers would still need to wait for their car orders

Type MS · Monopoly: features, barriers to entry, pros and cons

Answer 20 of 20 · Question 2 part d · 2 marks

2025 JUN · Paper 01 (regional R) · extract 4 of 5 · find part d in this mark scheme extract

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Answer 20 of 20 · Question 2 part d · 2 marks

2025 JUN · Paper 01 (regional R) · extract 5 of 5 · find part d in this mark scheme extract

Question number	Which **one** of the following could cause a shift in the demand curve for a product? **Answer**	**Mark**